TITLE: Balanced Innovation and Equitable Growth: Recommendations for the U.S. AI Action Plan

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Introduction

The January 23, 2025 Presidential Executive Order directing the creation of an AI Action Plan presents a critical opportunity to establish a framework that will shape America's artificial intelligence landscape for decades to come. This white paper responds to the Office of Science and Technology Policy's Request for Information by examining four interconnected policy priorities that should guide the Plan's development. While the Executive Order appropriately emphasizes sustaining American AI leadership and reducing burdensome requirements on private sector innovation, this analysis argues that true leadership requires policies that balance technological advancement with equitable participation, fair compensation for creators, and diverse approaches to development.

Fair Compensation for Creative Works in AI Training

The widespread use of copyrighted materials to train AI systems presents significant challenges to traditional intellectual property frameworks. As Professor Pamela Samuelson of Berkeley Law observes, "Generative-AI developers do not generally make information about their training datasets available to the public and have reportedly resisted requests to identify works in training datasets. This means copyright owners have a difficult time at present whether their works were so used and if so, to what extent, although some tools are being developed to detect the use of in dividual works as training data" (Samuelson, 2024). This practice raises fundamental questions about fairness and sustainability in the creative economy.

The economic implications extend beyond individual creators. According to the Authors Guild, "The market dilution caused by AI-generated works will ultimately result in a shrinking of the profession as fewer human authors will be able to sustain a living practicing their craft, and shut out important, diverse voices. Beyond the economic impact on writers, the unregulated development and use of generative AI technologies will lower the quality of books, journalism, and public discourse fundamental to democratic culture" (Authors Guild, 2024). This suggests that without appropriate compensation mechanisms, the very cultural resources that make AI systems valuable may be undermined.

Rather than viewing this as a binary choice between unfettered use of copyrighted materials and overly restrictive limitations, the AI Action Plan should establish a balanced framework that respects creator rights while enabling innovation. Optimal policy frameworks should establish mechanisms that facilitate the equitable distribution of economic value derived from creative works utilized in artificial intelligence training datasets, while simultaneously preserving sufficient accessibility to enable legitimate scientific inquiry and technological advancement in accordance with established research exemption principles. Specific policy recommendations include:

1. Establishing a compulsory licensing system for using copyrighted works in commercial AI training, with fees scaled according to the commercial impact of the resulting systems
2. Creating safe harbors for non-commercial and educational AI research
3. Requiring transparency in training data sources for AI systems seeking government contracts or funding

Diversifying the AI Development Ecosystem

The concentration of AI development capacity among a small number of well-resourced corporations threatens to limit both the diversity of innovation and the distribution of economic benefits. Research from computer scientists Joel Klinger, et al that market consolidation within the artificial intelligence development tend to demonstrate statistically significant negative correlations with the diversification of technical methodologies and application domains, with particularly pronounced detrimental effects observed in the exploration of solutions addressing niche markets and specialized use cases characterized by limited commercial scale (Klinger, et al, 2022).

Moreover, a diverse AI ecosystem is essential for addressing the full spectrum of societal needs. The AI Action Plan must therefore implement policies that actively promote diverse participation in AI development. Computer scientist Fei-Fei Li argues that “A more urgent issue that many don’t see from a risk point of view – but I do – is the lack of public investment. We have an extreme imbalance of resources in the private sector versus the public sector. That is going to bring harm” (Li, 2023).

Policy recommendations include:

1. Establishing antitrust guidelines specific to AI development and deployment that prevent anti-competitive practices
2. Creating set-asides for small businesses and non-traditional entities in federal AI procurement
3. Implementing technical assistance programs for smaller organizations seeking to develop AI applications

Supporting Open-Source AI Development

Open-source AI development represents a powerful complementary approach to proprietary systems, with unique benefits for innovation, transparency, and accessibility. Recent examples like DeepSeek demonstrate that collaborative development in open-source artificial intelligence frameworks demonstrate empirical efficacy in achieving computational performance metrics and predictive accuracies that approximate or parallel those observed in commercially developed proprietary systems, while simultaneously facilitating enhanced transparency through distributed peer review processes and expanding opportunities for multidisciplinary stakeholder engagement across diverse research communities.

The economic and innovation benefits of open-source approaches are promising. According to the Linux Foundation's 2024 report on open-source AI, because of less training time and cost efficiency, “Democratic access to AI capabilities across countries, companies of all sizes and NGOs will be a fundamental building block of innovation for many years to come, across many fields” (Linux Foundation, 2024). Crucially, support for open-source approaches need not come at the expense of proprietary development.

Policy recommendations include:

1. Dedicated federal funding for open-source AI infrastructure and model development

2. Research grants specifically supporting innovations in open-source AI methods
3. Requirements for federally-funded research to release models and findings under open licenses when appropriate

Coordinated Funding Across Multiple Levels

Effective support for a diverse AI ecosystem requires coordinated funding mechanisms that leverage the complementary strengths of federal, state, local, and private resources. Heterogeneous funding mechanisms inherently manifest distinctive temporal investment orientations and differential risk tolerance parameters; consequently, a sustainable innovation ecosystem necessitates the strategic integration of these diversified capital allocation approaches to achieve optimal functional efficacy across the research and development continuum.

Policy recommendations include:

1. Creating a federal matching program for state and local AI initiatives
2. Establishing regional AI innovation hubs with coordinated federal, state, and private funding
3. Developing tax incentives for AI investments in historically underserved regions

Conclusion

As policymakers craft the AI Action Plan, they face a fundamental choice about the kind of AI future America will build. A narrow focus on reducing regulatory barriers for established industry leaders may yield short-term advances but risks creating an AI landscape characterized by concentration, inequity, and missed opportunities. Instead, multi-sectoral collaborative frameworks that integrate governmental institutions, commercial enterprises, and academic research centers establish sophisticated mechanisms for the reciprocal exchange of material resources, intellectual assets, and methodological expertise, thereby constituting foundational infrastructures that facilitate the advancement of socioeconomic sustainability and promote the equitable distribution of technological innovations across diverse societal domains (Zhang et al. 2023, O'Dwyer, Filieri, and O'Malley 2023).

The most effective approach will balance support for America's existing AI strengths with deliberate efforts to diversify participation, ensure fair compensation for creators, and nurture alternative development models. By implementing the balanced policy framework outlined in this paper, the AI Action Plan can help ensure that America's AI leadership is both technologically advanced and socially beneficial – creating a future where artificial intelligence empowers diverse participants and serves the full spectrum of human needs.

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